

Options & Futures Basics

Calls, puts, strike prices, expiration, Greeks, and futures contracts explained simply.

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Options and futures are powerful instruments that let you trade with leverage and hedge existing positions. Understanding the basics before using them is not optional — these instruments can lose value fast in ways that shares do not.

What a Call Option Is

A call option gives you the right, but not the obligation, to buy 100 shares of a stock at the strike price before the expiration date. You pay a premium for this right. If the stock goes up, your call gains value. If the stock goes nowhere or falls, your call loses value and eventually expires worthless.

What a Put Option Is

A put option gives you the right to sell 100 shares at the strike price before expiration. Puts gain value when the stock falls. Traders use puts to profit from declining stocks or to hedge long positions.

Strike Price and Expiration

The strike price is the price at which you can buy (call) or sell (put) the shares. Expiration is the date the option ceases to exist. Options with less time to expiration are cheaper but riskier — they need the move to happen quickly. Options further out in time cost more but give the stock time to move.

In the Money vs Out of the Money

A call is in-the-money (ITM) when the stock price is above the strike price. It is out-of-the-money (OTM) when the stock is below the strike. OTM options are cheaper but require a larger move to be profitable. ITM options move more like the stock but cost significantly more.

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KEY OPTIONS RULES FOR BEGINNERS

- Options have an expiration date — time works against buyers every single day.
- Out-of-the-money options expire worthless most of the time.
- Never buy options right before earnings without understanding IV crush.
- Start with simple long calls and puts before using spreads or complex strategies.
- The premium you pay is your maximum loss on a long option — you cannot lose more.
- Always know your breakeven price: $\text{call breakeven} = \text{strike} + \text{premium paid}$.